Glossary

activists Economists who regard the self-correcting mechanism, which works through wage and price adjustment, as very slow because wages and prices are sticky. Activists see the need to pursue active policy to eliminate high unemployment when it develops. **631**

adaptive expectations Expectations for the value of a variable that are based on an average of past values of the variable. **192**

adverse selection The problem created by asymmetric information prior to a financial transaction: The party that is the most undesirable from the other party's point of view is the one who is most likely to want to engage in the financial transaction. **82**

agency theory The analysis of how asymmetric information problems affect economic behavior. **213**

aggregate demand The total quantity of output demanded in an economy at different price levels. **544**

aggregate demand curve The curve showing the relationship between the price level and the quantity of aggregate output demanded when the goods and money markets are in equilibrium. **569**, **579**

aggregate income The total income of factors of production (land, labor, capital) in an economy. **65**

aggregate output The total production of final goods and services in an economy. **53**

aggregate price level The average price of goods and services in an economy. **54**

aggregate supply curve The curve showing the relationship between the quantity of output supplied and the price level. **585**

anchor currency A currency to which other countries' currencies are pegged. **503**

"animal spirits" Waves of optimism and pessimism that affect consumers' and businesses' willingness to spend. **547**

appreciation Increase in a currency's value. **472**

arbitrage Elimination of a riskless profit opportunity in a market. **196**

asset A financial claim or piece of property that is a store of value. **49**

asset management The acquisition of assets that have a low rate of default and the diversification of asset holdings to increase profits. **239**

asset market approach An approach to determining asset prices that makes use of stocks of assets rather than flows. **137**

asset price bubbles Occur when asset prices in the stock and real estate markets are driven well above the assets' fundamental economic values by investor psychology. **269**, **453**

asset transformation The process of turning risky assets into safer assets, accomplished by creating and selling assets with risk characteristics that people are comfortable with and then using the funds acquired by selling these assets to purchase other assets that have far more risk. **82**, **236**

asymmetric information The unequal knowledge that each party to a transaction has about the other party. **82**

automated banking machine (ABM) One location that provides an automated teller machine (ATM), an Internet connection to the bank's website, and a telephone link to customer service. **286**

automated teller machine (ATM) An electronic machine that provides banking services 24 hours a day. **286**

autonomous consumption expenditure The amount of consumer expenditure that is independent of disposable income. **545**

autonomous easing of monetary policy The lowering of real interest rates at any given inflation rate. **567**

autonomous investment A component of planned investment spending that is completely exogenous and so is unexplained by the variables in a model. **547**

autonomous net exports The level of net exports that is treated as exogenous (outside the model). **549**

autonomous spending Exogenous spending that is unrelated to variables in the model such as output or the real interest rate. **557**

autonomous tightening of monetary policy The raising of real interest rates at any given inflation rate. **567**

balance of payments A bookkeeping system for recording all payments that have a direct bearing on the movement of funds between a country and other countries. **501**

balance-of-payments crisis A foreign exchange crisis stemming from problems in a country's balance of payments. **508**

balance sheet A balanced list of the assets and liabilities of a bank (or firm): Total assets equal total liabilities plus capital. **232**

bank failure A situation in which a bank cannot satisfy its obligations to pay its depositors and other creditors and so goes out of business. **261**

bank holding companies Companies that own one or more banks. **283**

bank panic The simultaneous failure of many banks, as during a financial crisis. **262**

banks Financial institutions (such as commercial banks, savings and loan associations, and credit unions) that accept money deposits and make loans. **52**

Basel Accord An agreement that required that banks hold as capital at least 8% of their risk-weighted assets. **267**

Basel Committee on Banking Supervision An international committee of bank supervisors that meets under the auspices of the Bank for International Settlements in Basel, Switzerland. **267**

behavioral finance A subfield of finance that applies concepts from other social sciences, such as anthropology, sociology, and particularly psychology, to explain the behavior of securities prices. **202**

Board of Governors of the Federal Reserve System A board with seven governors (including the chair) that plays an essential role in decision making within the Federal Reserve System. **293**

bond A debt security that promises to make periodic payments to the holder for a specified period of time. **49**

borrowed reserves A bank's borrowings from the Fed. **392**

branches A main bank's additional offices in which banking operations are conducted. **296**

Bretton Woods system The international monetary system, in use from 1945 to 1971, in which exchange rates were fixed and the U.S. dollar was freely convertible into gold (by foreign governments and central banks only). **504**

brokers Agents for investors; brokers match buyers with sellers. **72**

bubble A situation in which the price of an asset differs from its fundamental market value. **201**

budget deficit Government expenditures in excess of tax revenues. **57**

budget surplus Tax revenues in excess of government expenditures. **57**

business cycles The upward and downward movement of aggregate output produced in an economy. **53**

capital Wealth, either financial or physical in form, that is employed to produce more wealth. **70**

capital account An account that describes the flow of capital between a country and other countries. **502**

capital adequacy management A bank's decisions about the amount of capital it should maintain and the best ways to acquire the needed capital. **239**

capital controls Restrictions on the free movement of capital across borders. **509**

capital market A financial market in which longer-term debt (generally with an original maturity of greater than one year) and equity instruments are traded. **73**

capital mobility A situation in which foreigners can easily purchase a country's assets, and the country's residents can easily purchase foreign assets. **495**

cash flows Cash payments to the holder of a security. **110, 186**

central bank The government agency that oversees a country's banking system and is responsible for the amount of money and credit supplied in the economy; in the United States, the Federal Reserve System. **56**, **281**

collateral Property that is pledged to the lender to guarantee payment in the event that the borrower is unable to make debt payments. **211**

commodity money Money made up of precious metals or another valuable commodity. **99**

common stock A security that is a claim on the earnings and assets of a company. **49**

community banks Small banks with local roots. **300**

compensating balance The required minimum amount of funds that a firm receiving a loan must keep in a checking account at the lending bank. **250**

conflicts of interest A manifestation of the moral hazard problem. Conflicts of interest occur when a financial institution provides multiple services with conflicting goals, a situation that may lead the firm to conceal important information or disseminate misleading information. **84**

consol A perpetual bond with no maturity date and no repayment of principal, and that makes periodic, fixed coupon payments. **119**

constant-money-growth-rate rule Monetary policy rule, advocated by monetarists, in which policymakers keep the money supply growing at a constant rate, regardless of the state of the economy. **655**

constrained discretion A framework in which the general objectives and tactics of policymakers—but not specific actions—are committed to in advance; this framework imposes a conceptual structure and inherent discipline on policymakers without eliminating all flexibility. **658**

consumer durable expenditure Spending by consumers on durable items such as automobiles and household appliances. **673**

consumption Spending by consumers on nondurable goods and services (including services related to the ownership of homes and consumer durables). **676**

consumption expenditure The total demand for consumer goods and services. **545**, **579**

consumption function The relationship between disposable income and consumer expenditure. **545**

conventional monetary policy tools The classic tools of monetary policy that the Federal Reserve uses to control the money supply and interest rates: open market operations, discount lending, and reserve requirements. **418**

cost-push inflation Inflation that occurs when workers push to obtain higher wages. **634**

cost-push shocks Price shocks that occur when workers push for wages that are higher than productivity gains, thereby driving up costs and inflation. **586**

costly state verification Monitoring of a firm's activities, an expensive process in terms of both time and money. **220**

coupon bond A credit market instrument that pays the owner a fixed interest payment every year until the maturity date, at which time a specified final amount is repaid. **113**

coupon rate The dollar amount of the yearly coupon payment expressed as a percentage of the face value of a coupon bond. **113**

credibility A commitment to policy actions that is believed by the public. **658**

credit boom A lending spree in which financial institutions expand their lending at a rapid pace. **268**

credit default swaps Financial insurance contracts that provide payments to holders of bonds if they default. **275**

credit easing Altering the composition of the Fed's balance sheet in order to improve the functioning of particular segments of the credit markets. **429**

credit rationing Occurs when a lender refuses to make loans even though borrowers are willing to pay the stated interest rate or even a higher rate, or when a lender restricts the sizes of loans so that the loans are made for less than the full amount sought. **251**

credit risk The risk arising from the possibility that the borrower will default. **239**

credit spread The difference between the interest rate on loans to households and businesses and the interest rate on completely safe assets that are sure to be paid off, such as U.S. Treasury securities. **273**

credit view Monetary transmission mechanisms that operate through asymmetric information effects on credit markets. **674**

credit-rating agencies Investment advisory firms that rate the quality of corporate and municipal bonds in terms of the probability of default. **165**

currency Paper money (such as dollar bills) and coins. **74**, **95**

currency board A monetary regime in which the domestic currency is backed 100% by a foreign currency (say, dollars) and in which the note-issuing authority, whether it be the central bank or the government, establishes a fixed exchange rate to this foreign currency and stands ready to exchange domestic currency at this rate whenever the public so requests. **519**

current account An account that shows international transactions involving currently produced goods and services. **502**

current yield An approximation of the yield to maturity; equal to the yearly coupon payment divided by the price of a coupon bond. **120**

data lag The time it takes for policymakers to obtain data on the state of the economy. **631**

dealers People who link buyers with sellers by buying and selling securities at stated prices. **72**

debt deflation A situation in which a substantial decline in the price level sets in, leading to a further deterioration in firms' net worth because of the increased burden of indebtedness. **271**

default A situation in which the party issuing a debt instrument is unable to make interest payments or pay off the amount owed when the instrument matures. **74**, **162**

default-free bonds Bonds with no default risk, such as U.S. government bonds. **163**

defensive open market operations Open market operations intended to offset movements in other factors that affect the monetary base (such as changes in Treasury deposits with the Fed or changes in float). **418**

deficit spending Public debt and borrowings from central banks and international institutions. **328**

deflationary spirals Lower prices that cause ever-decreasing demand and output, especially during recessions. **328**

deleveraging Occurs when financial institutions cut back on their lending because they have less capital. **268**

demand curve The curve depicting the relationship between quantity demanded and price when all other economic variables are held constant. **134**

demand for money The quantity of money that people want to hold. **528**

demand shocks Shocks that can shift the aggregate demand curve, including changes in the money supply, changes in government expenditure and taxes, changes in net exports, changes in consumer and business spending, and financial frictions. **581**

demand-pull inflation Inflation that results when policymakers pursue policies that shift the aggregate demand curve. **634**

deposit facility The European Central Bank's standing facility, in which banks are paid a fixed interest rate 146 basis points below the target financing rate. **432**

deposit outflows Losses of deposits when depositors make withdrawals or demand payment. **239**

deposit rate ceiling A restriction on the maximum interest rate payable on deposits. **290**

depreciation A decrease in a currency's value. **472**

devaluation The resetting of the fixed value of a currency to a lower level. **506**

discount bond A credit market instrument that is bought at a price below its face value and whose face value is repaid at the maturity date; it does not make any interest payments. Also called a *zero-coupon bond*. **113**

discount loans A bank's borrowings from the Federal Reserve System; also known as *advances*. **234**

discount rate The interest rate that the Federal Reserve charges banks on discount loans. **241**, **388**

discount window The Federal Reserve facility at which discount loans are made to banks. **419**

discretion When policymakers make decisions that they believe are the best policies to address a given situation at a given point in time. **654**

disintermediation A reduction in the flow of funds into the banking system that causes the amount of financial intermediation to decline. **290**

disposable income Total income available for spending, equal to aggregate income minus taxes. **545**

diversification Investing in a collection (portfolio) of assets whose returns do not always move together, with the result that the overall risk is lower than that on the individual assets. **82**

dividends Periodic payments made by equities to shareholders. **71**, **187**

divine coincidence A phrase coined by Olivier Blanchard, referring to the situation in which a policy meant to stabilize inflation is also the best policy for stabilizing economic activity. **626**

dollarization The adoption of a sound currency, like the U.S. dollar, as a country's money. **521**

dominated assets Assets such as currency and checkable assets, which earn lower returns than other assets that are just as safe. **537**

dual banking system The banking system in place in the United States, in which banks supervised by the federal government and banks supervised by the states operate side by side. **282**

dual mandate A central bank mandate that features two co-equal objectives: price stability and maximum employment. **441**

duration analysis A measurement of the sensitivity of the market value of a bank's assets and liabilities to changes in interest rates. **253**

dynamic open market operations Open market operations that are intended to change the level of reserves and the monetary base. **418**

e-cash Electronic money that is used on the Internet to purchase goods or services. **100**

e-finance A new means of delivering financial services electronically. **52**

easing of monetary policy The lowering of the federal funds rate. **364**

economies of scale The reduction in transaction costs per dollar of transaction as the size (scale) of transactions increases. **81**

economies of scope The ability to use one resource to provide many different products and services. **84**, **299**

Edge Act corporation A special subsidiary of a U.S. bank that is engaged primarily in international banking. **308**

effective exchange rate index An index reflecting the value of a basket of representative foreign currencies. **487**

effectiveness lag The time it takes for a policy to actually have an impact on the economy. **632**

efficient market hypothesis The application of the theory of rational expectations to financial markets. Also called the *theory of efficient capital markets*. **194**

electronic money (e-money) Money that exists only in electronic form and substitutes for cash as well. **100**

emerging market countries Countries that have recently opened up to flows of goods, services, and capital from the rest of the world. **512**

emerging market economies Economies in an early stage of market development that have recently opened up to the flow of goods, services, and capital from the rest of the world. **338**

equation of exchange The equation $MV = PY$, which relates nominal income to the quantity of money. **527**

equities Claims to share in the net income and assets of a corporation (such as common stock). **71**

equity capital See *net worth*. **218**

equity multiplier (EM) The amount of assets per dollar of equity capital. **245**

Eurobonds Bonds denominated in a currency other than that of the country in which they are sold. **79**

Eurocurrencies A variant of the Eurobond; foreign currencies deposited in banks outside the home country. **79**

Eurodollars U.S. dollars that are deposited in foreign banks outside the United States or in foreign branches of U.S. banks. **79**

excess demand A situation in which the quantity demanded is greater than the quantity supplied. **136**

excess reserves Reserves in excess of required reserves. **235**, **388**

excess supply A situation in which the quantity supplied is greater than the quantity demanded. **136**

exchange rate The price of one currency stated in terms of another currency. **470**, **548**

exchange-rate peg The fixing of the value of the domestic currency to the value of another currency, so that the exchange rate is fixed. Also called *exchange-rate targeting*. **515**

exchange-rate targeting See *exchange-rate peg*. **515**

exchanges Secondary markets in which buyers and sellers of securities (or their agents or brokers) meet in one central location to conduct trades. **72**

exogenous Independent of variables in the model. **545**

expectations theory The proposition that the interest rate on a long-term bond will equal the average of the short-term interest rates that people expect to occur over the life of the long-term bond. **172**

expected return The return on an asset expected over the next period. **132**

face value A specified final amount paid to the owner of a coupon bond at the maturity date. Also called *par value*. **113**

fair-value accounting See *mark-to-market accounting*. **271**

federal funds rate The interest rate on overnight loans of deposits at the Federal Reserve. **75**, **364**, **411**

Federal Open Market Committee (FOMC) The committee that makes decisions regarding the conduct of open market operations; composed of the seven members of the Board of Governors of the Federal Reserve System, the president of the Federal Reserve Bank of New York, and the presidents of four other Federal Reserve banks (on a rotating basis). **293**

Federal Reserve Banks The 58 district banks in the Federal Reserve System. **293**

Federal Reserve System (the Fed) The central banking authority responsible for monetary policy in the United States. **56**

fiat money Paper currency decreed by a government as legal tender but not convertible into coins or precious metal. **99**

financial crisis A major disruption in financial markets that is characterized by sharp declines in asset prices and the failures of many financial and nonfinancial firms. 53, **268**

financial derivatives Instruments that have payoffs that are linked to previously issued securities; used as risk reduction tools. **285, 275**

financial engineering The process of researching and developing new financial products and services that will meet customer needs and also prove profitable. **283**

financial frictions Asymmetric information problems that act as barriers to the efficient allocation of capital. **268, 548**

financial globalization When a country opens up its economy to flows of capital and financial firms from other nations. **340**

financial infrastructure Arenas where individuals and institutions plan, negotiate, and perform financial transactions. **330**

financial innovation The introduction of new types of financial products in an economy. **52, 268**

financial intermediaries Institutions (such as banks, insurance companies, mutual funds, pension funds, and finance companies) that borrow funds from people who have saved and then make loans to others. **52**

financial intermediation The process of indirect finance whereby financial intermediaries link lender-savers with borrower-spenders. **80**

financial liberalization The elimination of restrictions on financial markets. **268**

financial liberalization When a country liberalizes its domestic financial systems by eliminating restrictions on financial institutions and markets. **340**

financial markets Markets in which funds are transferred from people who have a surplus of available funds to people who have a shortage of available funds. **48**

financial panic The widespread collapse of financial markets and intermediaries in an economy. **89**

financial stability board (FSB) The G20 leaders established this board in 2009 with an aim to reveal regulatory gaps, harmonize financial regulations among national regulators and international financial institutions, provide policymakers with useful recommendations, gauge the level of adherence of jurisdictions to regulatory standards, and monitor progress on past commitments. **333**

financial supervision (prudential supervision) The oversight of financial institutions and their operations. **269**

fire sales Forced, rapid sales of assets to raise needed funds. **271**

fiscal policy Policy that involves decisions about government spending and taxation. **57**

Fisher effect Describes the rise in interest rates that occurs when inflation is at the level of expected inflation; named after economist Irving Fisher. **144**

fixed exchange rate regime A regime in which central banks buy and sell their own currencies to keep their exchange rates fixed at a certain level. **503**

fixed investment Spending by firms on equipment (computers, airplanes) and structures (factories, office buildings), and planned spending on residential housing. **546**

fixed-payment loan A credit market instrument that provides the borrower with an amount of money that is repaid through fixed periodic (usually monthly) payments made over a set number of years. **113**

float Cash items in process of collection at the Fed minus deferred-availability cash items. **392**

floating exchange rate regime An exchange rate regime in which the values of currencies are allowed to fluctuate against one another. **503**

foreign bonds Bonds sold in a foreign country and denominated in that country's currency. **78**

foreign exchange intervention An international financial transaction in which a central bank buys or sells currency to influence foreign exchange rates. **497**

foreign exchange market The market in which exchange rates are determined. **59**, **470**

foreign exchange rate See *exchange rate*. **59**

forward exchange rate The exchange rate for a forward transaction. **471**

forward guidance A central bank commitment to a future path of the policy interest rate. **430**

forward transaction A transaction that involves the exchange of bank deposits denominated in different currencies at some specified future date. **471**

free-rider problem The problem that occurs when people who do not pay for information take advantage of the information that other people have paid for. **215**

fully amortized loan See *fixed-payment loan*. **113**

fundamental economic values Values of assets based on realistic expectations of their future income streams. **269**

futures contract A contract in which the seller agrees to provide a certain standardized commodity to the buyer on a specific future date at an agreed-on price. **285**

gap analysis A measurement of the sensitivity of bank profits to changes in interest rates, calculated by subtracting the amount of rate-sensitive liabilities from the amount of rate-sensitive assets. **252**

general equilibrium Occurs when all markets are simultaneously in equilibrium, at the point where the quantity of aggregate output demanded equals the quantity of aggregate output supplied. **591**

generalized dividend model A model in which the price of a stock is determined only by the present value of the dividends. **188**

goal independence The ability of the central bank to set the goals of monetary policy. **367**
gold standard A fixed exchange rate regime under which a currency is directly convertible into gold. **503**
Gordon growth model A simplified model used to compute the value of a stock by assuming constant dividend growth. **188**
government budget constraint The requirement that the government budget deficit must equal the sum of the change in the monetary base and the change in government bonds held by the public. **533**
government purchases Spending by all levels of government (federal, state, and local) on goods and services. **545**, **579**
gross domestic product (GDP) The value of all final goods and services produced in the economy during the course of a year. **57**

haircuts The excess amount of collateral above the amount of a loan. **278**
hedge To protect oneself against risk. **285**
hierarchical mandate A central bank mandate in which the goal of price stability comes first; once price stability has been achieved, other goals can be pursued. **440**
high-powered money The monetary base. **387**
hyperinflation An extreme inflation in which the inflation rate exceeds 50% per month. **98**, **534**

implementation lag The time it takes for policymakers to change policy instruments once they have decided on a new policy. **632**
impossible trinity Another term for the policy trilemma, in which a country cannot pursue the following three policies at the same time: free capital mobility, a fixed exchange rate, and an independent monetary policy. **509**
incentive-compatible Used to describe a contract in which the incentives of both parties to the contract are in alignment. **223**
income The flow of earnings. **96**
inflation The economic condition of a continually rising price level. **54**
inflation gap The difference between inflation and the inflation target. **623**
inflation hedges Alternative assets whose real returns are less affected than that of money when inflation varies. **537**
inflation rate The rate of change of the price level, usually measured as a percentage change per year. **54**
inflation shocks Shifts in inflation that are independent of the amount of slack in the economy or expected inflation. **586**
inflation target A central bank target for the inflation rate. **623**
inflation targeting A monetary policy strategy that involves the public announcement of a medium-term numerical target for inflation. **441**
instrument independence The ability of the central bank to set monetary policy instruments. **367**
interest parity condition The observation that the domestic interest rate equals the foreign interest rate plus the expected appreciation in the foreign currency. **495**
interest rate The cost of borrowing or the price paid for the rental of funds (usually expressed as a percentage per year). **49**
interest-rate risk The possible reduction in returns associated with changes in interest rates. **124**, **239**
intermediate target Any of a number of variables, such as monetary aggregates or interest rates, that have a direct effect on employment and the price level and that the Fed seeks to influence. **457**
intermediate-term With reference to a debt instrument, having a maturity of between one and ten years. **71**
international banking facilities (IBFs) Banking establishments in the United States that can accept time deposits from foreigners but are not subject to reserve requirements or restrictions on interest payments. **308**
International Monetary Fund (IMF) The international organization created by the Bretton Woods agreement whose objective it is to promote the growth of world trade by making loans to countries experiencing balance-of-payments difficulties. **504**
international reserves Central bank holdings of assets denominated in foreign currencies. **497**
inventory investment Spending by firms on additional holdings of raw materials, parts, and finished goods. **546**
inverted yield curve A yield curve that is downward-sloping. **171**
investment banks Firms that assist in the initial sale of securities in the primary market. **72**
***IS* curve** The relationship that describes the combinations of aggregate output and interest rates for which the total quantity of goods produced equals the total quantity demanded (goods market equilibrium). **551**

junk bonds Bonds with ratings below Baa (or BBB) that have a high default risk. **166**

Keynesian A follower of John Maynard Keynes who believes that movements in the price level and aggregate output are driven by changes not only in the money supply but also in government spending and fiscal policy, and who does not regard the economy as inherently stable. **631**

law of one price The principle that if two countries produce an identical good, the price of this good should be the same throughout the world, no matter which country produces it. **473**
legislative lag The time it takes to pass legislation to implement a particular policy. **631**

lender of last resort A lender that provides reserves to financial institutions when no one else is willing to do so; such lending is usually done to prevent a financial crisis. **421**
leverage ratio A bank's capital divided by its assets. **267**
liabilities IOUs or debts. **69**
liability management The acquisition of funds at low cost to increase profits. **239**
liquid Easily converted into cash. **72**
liquidity The relative ease and speed with which an asset can be converted into cash. **98**, **132**
liquidity management The decisions made by a bank in order to maintain enough liquid assets to meet the bank's obligations to depositors. **239**
liquidity preference framework A model developed by John Maynard Keynes that predicts the equilibrium interest rate on the basis of the supply of and demand for money. **147**
liquidity preference theory John Maynard Keynes's theory of the demand for money. **535**
liquidity premium theory The theory that the interest rate on a long-term bond will equal an average of the short-term interest rates expected to occur over the life of the long-term bond, plus a positive term (liquidity) premium. **176**
liquidity services Services that financial intermediaries provide to their customers to make it easier for the customers to conduct their transactions. **81**
liquidity trap A case of ultrasensitivity of the demand for money to interest rates, in which conventional monetary policy has no direct effect on aggregate spending because a change in the money supply has no effect on the interest rate. **539**
loan commitment A bank's commitment to provide a firm with loans (for a specified period of time) up to a given amount at an interest rate that is tied to some market interest rate. **250**
loan sale The sale through a contract (also called a *secondary loan participation*) of all or part of the cash stream from a specific loan, thereby removing the loan from the bank's balance sheet. **254**
long-term With reference to a debt instrument, having a maturity of ten years or more. **71**
longer-term refinancing operations A category of open market operations conducted by the European Central Bank; similar to the Fed's outright purchases or sales of securities. **432**

M1 A measure of money that includes currency, traveler's checks, and checkable deposits. **102**
M2 A measure of money that includes M1 plus the following: money market deposit accounts, money market mutual fund shares, small-denomination time deposits, savings deposits, overnight repurchase agreements, and overnight Eurodollars. **104**
macroeconometric models Models used to forecast the effects of policy on economic activity; macroeconometric models use collections of equations that describe statistical relationships among many economic variables. **652**
macroprudential policies Policies enacted to reduce systemic risk exposure of the entire financial sector. **331**
macroprudential regulation Regulatory policy that affects the credit markets in the aggregate. **456**
main refinancing operations Weekly reverse transactions (purchases or sales of eligible assets through repurchase agreements or credit operations, with eligible assets as collateral) that are reversed within two weeks and are the primary monetary policy tool of the European Central Bank. **431**
managed float regime An exchange rate regime in which countries attempt to influence their exchange rates by buying and selling currencies (also called a *dirty float*). **503**
management of expectations A term coined by Michael Woodford that refers to a commitment by the Fed to keep the federal funds rate at zero for an extended period in order to generate a fall in the long-term interest rate. **430**
marginal lending facility The European Central Bank's standing lending facility, in which banks can borrow (against eligible collateral) overnight loans from the national central bank at a rate that is 146 basis points above the target financing rate. **432**
marginal lending rate The interest rate charged by the European Central Bank for borrowing at its marginal lending facility. **432**
marginal propensity to consume The slope of the consumption function line that measures the change in consumer expenditure that results from an additional dollar of disposable income. **546**
mark-to-market accounting An accounting method in which assets are valued on the balance sheets at the price at which they would sell in the market. Also called *fair-value accounting*. **271**
market equilibrium Occurs in an economy when the quantity that people are willing to buy (demand) is equal to the quantity that people are willing to sell (supply). **136**
market fundamentals Items that have a direct impact on the future income streams of a security. **201**
matched sale–purchase transaction An arrangement whereby the Fed sells securities and the buyer agrees to sell them back to the Fed in the near future; sometimes called a *reverse repo*. **419**
maturity The time to the expiration date (maturity date) of a debt instrument. **71**
medium of exchange Anything that is used to pay for goods and services. **96**
microprudential policies Policies that aim to reduce risk of exposure of individual financial institutions. **331**
monetarist A follower of Milton Friedman who sees changes in the money supply as the primary source of movements in the price level and aggregate output, and who views the economy as inherently stable. **655**
monetary aggregates The measures of the money supply (M1 and M2) used by the Federal Reserve System. **102**

monetary base The sum of the Fed's monetary liabilities (currency in circulation and reserves) and the U.S. Treasury's monetary liabilities (Treasury currency in circulation, primarily coins). **387**

monetary policy The management of the money supply and interest rates. **56**

monetary policy (*MP*) curve The curve showing the relationship between the real interest rate set by the central bank and the inflation rate. **565**

monetary theory The theory that relates changes in the quantity of money to changes in economic activity. **53**, **526**

monetary (currency) union A group of countries that decides to adopt a common currency, thereby fixing the countries' exchange rates in relation to each other. **510**

monetizing the debt A method of financing government spending whereby the government debt issued to finance government spending is removed from the hands of the public and is replaced by high-powered money instead. Also called *printing money*. **533**

money (money supply) Anything that is generally accepted as payment for goods or services or in the repayment of debts. **53**

money center banks Large banks in key financial centers (New York, Chicago, San Francisco). **243**

money market A financial market in which only short-term debt instruments (generally those with original maturities of less than one year) are traded. **73**

money multiplier A ratio that relates the change in the money supply to a given change in the monetary base. **401**

money supply The quantity of money. **53**

moral hazard The risk that one party to a transaction will engage in behavior that is undesirable from the other party's point of view. **83**

mortgage-backed securities Securities that cheaply bundle and quantify the default risk of the underlying high-risk mortgages. **76**

mortgages Loans to households or firms that wish to purchase housing, land, or other real structures; the structure or land itself serves as collateral for the loan. **76**

multiple deposit creation The process whereby, when the Fed supplies the banking system with $47 of additional reserves, deposits increase by a multiple of this amount. **393**

mutual assessment process (MAP) A collective effort to create aggregate plans under which various nations may share details of its macroeconomic and financial policy plans, and enables coordination among other members. **333**

national banks Federally chartered banks. **282**

natural rate of output The level of aggregate output produced at the natural rate of unemployment—the rate at which there is no tendency for wages or prices to change. **439**, **585**

natural rate of unemployment The rate of unemployment consistent with full employment; the rate at which the demand for labor equals the supply of labor. **438**, **585**

net exports Net foreign spending on domestic goods and services, equal to exports minus imports. **545**, **579**

net worth The difference between a firm's assets (what it owns or is owed) and its liabilities (what it owes). Also called *equity capital*. **218**

nominal anchor A nominal variable, such as the inflation rate, an exchange rate, or the money supply, that monetary policymakers use to tie down the price level. **437**

nominal GDP targeting A monetary policy strategy in which the central bank announces an objective of hitting a particular level of nominal GDP (real GDP times the price level) that grows over time. **667**

nominal interest rate An interest rate that does not take inflation into account. **125**

nonaccelerating inflation rate of unemployment (NAIRU) The rate of unemployment at which there is no tendency for inflation to change. **462**

nonactivists Economists who believe that wages and prices are very flexible and so the self-correcting mechanism works very rapidly; nonactivists do not see the need to pursue policies to return the economy to full employment. **631**

nonborrowed monetary base The monetary base minus discount loans (borrowed reserves). **392**

nonconventional monetary policy tools The non-interest-rate tools used by central banks to stimulate the economy: liquidity provision, asset purchases, and commitments to future monetary policy actions. **425**

off-balance-sheet activities Bank activities that involve the trading of financial instruments and the generation of income from fees and loan sales, all of which affect bank profits but are not visible on bank balance sheets. **254, 267**

official reserve transactions balance The current account balance plus items in the capital account. **502**

open market operations The Fed's buying or selling of bonds in the open market. **297**, **389**

open market purchase A purchase of bonds by the Fed. **389**

open market sale A sale of bonds by the Fed. **389**

operating instrument A variable that is very responsive to the central bank's tools and indicates the stance of monetary policy (also called a *policy instrument*). **457**

opportunity cost The amount of interest (expected return) sacrificed by not holding an alternative asset. **148**

optimal forecast The best guess of future conditions, made using all available information. **192**

originate-to-distribute model A business model in which a mortgage is originated by a separate party, typically a mortgage broker, and then distributed to an investor as an underlying asset in a security. **289**

output gap The difference between aggregate output and potential output. **585**

over-the-counter (OTC) market A secondary market in which dealers at different locations who have an inventory of securities stand ready to buy and sell securities "over the counter" to anyone who comes to them and is willing to accept their prices. **72**

overnight cash rate The interest rate for very-short-term interbank loans in the euro area. **431**

par value See *face value*. **113**

payment technology Methods of payment that include credit cards and electronic payments. **535**

payments system The method of conducting transactions in an economy. **99**

perpetuity See *consol*. **119**

Phillips curve theory A theory suggesting that changes in inflation are influenced by the state of the economy relative to its production capacity, as well as other factors. **461**

planned expenditure The total amount that households, businesses, the government, and foreigners want to spend on domestically produced goods and services. **544**

planned investment spending Total planned spending by businesses on new physical capital (e.g., machines, computers, apartment buildings) plus planned spending on new homes. **545**, **579**

policy instrument A variable that is very responsive to the central bank's tools and that indicates the stance of monetary policy (also called an *operating instrument*). **457**

policy trilemma The idea that a country cannot pursue the following three policies at the same time: free capital mobility, a fixed exchange rate, and an independent monetary policy. **509**

political business cycle A business cycle caused by expansionary policies that are pursued prior to an election. **369**, **656**

portfolio A collection or group of assets. **82**

potential output The level of aggregate output produced at the natural rate of unemployment (also called the *natural rate of output*). **439**, **585**

preferred habitat theory A theory that holds that the interest rate on a long-term bond is equal to an average of the short-term interest rates expected to occur over the life of the long-term bond, plus a positive term premium. Closely related to the liquidity premium theory. **176**

present discounted value See *present value*. **110**

present value Today's value of a payment to be received in the future, when the interest rate is *i*. Also called *present discounted value*. **110**

price stability Low and stable inflation. **436**

primary dealers Government securities dealers, operating out of private firms or commercial banks, with whom the Fed's open market desk trades. **389**, **419**

primary market A financial market in which new issues of a security are sold to initial buyers. **71**

principal–agent problem A moral hazard problem that occurs when the managers in control (the agents) act in their own interest rather than in the interest of the owners (the principals), due to differing sets of incentives. **219**

printing money See *monetizing the debt*. **533**

prudential supervision See *financial supervision*. **269**

quantity theory of money The theory that nominal income is determined solely by movements in the quantity of money. **528**

quantitative easing An expansion of the Federal Reserve's balance sheet. **428**

quotas Restrictions on the quantity of foreign goods that can be imported. **476**

random walk Movements of a variable whose future values cannot be predicted (are random) because, given today's value, the value of the variable is just as likely to fall as it is to rise. **197**

rate of capital gain The change in a security's price relative to its initial purchase price. **122**

rate of return See *return*. **121**

rational expectations Expectations that reflect optimal forecasts (the best guess of future conditions) made using all available information. **192**

real business cycle theory A theory that views real shocks to tastes and technology as the major driving force behind short-run business cycle fluctuations. **603**

real exchange rate The rate at which domestic goods can be exchanged for foreign goods; i.e., the price of domestic goods relative to foreign goods denominated in domestic currency. **474**

real interest rate The interest rate adjusted for expected changes in the price level (inflation) so that it more accurately reflects the true cost of borrowing. **125**

real money balances The quantity of money in real terms. **535**

real terms Terms that reflect the actual amount of goods and services that one can buy. **126**

recession A period during which aggregate output is declining. **53**

recognition lag The time it takes for policymakers to feel confident about the signals the data are sending regarding the future course of the economy. **631**

regulatory arbitrage A process in which banks keep on their books assets that are relatively risky, such as a loan to a company with a very low credit rating, while taking off their books low-risk assets, such as a loan to a company with a very high credit rating. In regulatory arbitrage, the risky and low-risk assets have the same risk-based capital requirements. **267**

regulatory arbitrage When banks and other financial institutions take advantage of loopholes in regulatory systems that help them to move their operations and financial instruments to locations outside the purview of regulators. **333**

repurchase agreement (repo) An arrangement whereby the Fed or another party purchases securities with the understanding that the seller will repurchase them in a short period of time, usually less than a week. **324**, **419**

required reserve ratio The fraction of deposits that the Fed requires be kept as reserves. **235, 388**

required reserves Reserves that are held to meet the Fed's requirement that for every dollar of deposits at a bank, a certain fraction must be kept as reserves. **235**

reserve currency A currency, such as the U.S. dollar, that is used by other countries to denominate the assets they hold as international reserves. **504**

reserve requirements Regulations that oblige depository institutions to keep a certain fraction of their deposits in accounts with the Fed. **235**

reserves Banks' holding of deposits in accounts with the Fed plus currency that is physically held by banks (vault cash). **235, 388**

residual claimant A stockholder's right to receive whatever remains after all other claims against a firm's assets have been satisfied. **186**

restrictive covenants Provisions that restrict and specify certain activities that a borrower can engage in. **211**

return The payments to the owner of a security plus the change in the security's value, expressed as a fraction of its purchase price. More precisely called the *rate of return*. **121**

return on assets (ROA) Net profit after taxes per dollar of assets. **245**

return on equity (ROE) Net profit after taxes per dollar of equity capital. **245**

revaluation The resetting of the fixed value of a currency at a higher level. **506**

reverse transactions Purchases or sales of eligible assets by the European Central Bank under repurchase agreements or credit operations, with eligible assets as collateral, that are reversed within two weeks. **431**

risk The degree of uncertainty associated with the return on an asset. **82**, **132**

risk premium The spread between the interest rate on bonds with default risk and the interest rate on default-free bonds. **163**

risk sharing The process of creating and selling assets with risk characteristics that people are comfortable with and then using the funds acquired by selling these assets to purchase other assets that have far more risk. **82**

risk structure of interest rates The relationships among the interest rates on various bonds with the same term to maturity. **162**

rules Binding plans that specify how policy will respond (or not respond) to particular data, such as data on unemployment and inflation. **654**

secondary market A financial market in which securities that have previously been issued (and are thus second-hand) can be resold. **71**

secondary reserves Short-term U.S. government and agency securities held by banks. **235**

secured debt Debt guaranteed by collateral. **211**

securitization The process of transforming illiquid financial assets into marketable capital market instruments. **288**

security A claim on a borrower's future income that is sold by the borrower to the lender. Also called a *financial instrument*. **49**

segmented markets theory A theory of term structure that sees the markets for different-maturity bonds as completely separated and segmented, so that the interest rate on bonds of a given maturity is determined solely by supply of and demand for bonds of that maturity. **175**

seignorage The revenue that a government receives by issuing money. **521**

self-correcting mechanism A characteristic of the economy that causes output to return eventually to the natural rate level, regardless of where it lies initially. **595**

shadow banking system A system in which bank lending is replaced by lending via the securities market. **283**

short sales Borrowing stock from brokers and then selling the stock in the market, with the hope that a profit will be earned by buying the stock back again ("covering the short") after it has fallen in price. **203**

short-term With reference to a debt instrument, having a maturity of one year or less. **71**

simple deposit multiplier The multiple increase in deposits generated by an increase in the banking system's reserves. The behavior of depositors and banks plays no role in this simple model. **396**

simple loan A credit market instrument that provides the borrower with an amount of funds that must be repaid to the lender at the maturity date, along with an additional payment (interest). **111**

smart card A stored-value card that contains a computer chip that allows the card to be loaded with digital cash from the owner's bank account whenever needed. **100**

speculative attack Involves massive sales of a weak currency or purchases of a strong currency that can cause a sharp change in the exchange rate. **506**

speculative attack When speculators engage in massive sales of the currency. **342**

spot exchange rate The exchange rate for a spot transaction. **471**

spot transaction The predominant type of exchange rate transaction, involving the immediate exchange of bank deposits denominated in different currencies. **471**

stagflation A situation of rising inflation but a falling level of aggregate output. **600**

standing lending facility A lending facility in which healthy banks are allowed to borrow all they want from a central bank. **421**

state banks State-chartered banks. **282**
state-owned banks Banks that are owned by governments. **227**
sterilized foreign exchange intervention A foreign exchange intervention that is accompanied by an offsetting open market operation that leaves the monetary base unchanged. **500**
stock A security that is a claim on the earnings and assets of a company. **49**
stockholders Those who hold stock in a corporation. **186**
store of value A repository of purchasing power over time. **98**
stress tests Tests used by financial institutions to calculate potential losses and capital needs under fictional dire scenarios. **271**
structured credit products Securities that are derived from the cash flows of underlying assets and are tailored to have particular risk characteristics that appeal to investors with different preferences. **320**
subprime mortgages Mortgages made to borrowers with less-than-stellar credit records. **289**
superregional banks Bank holding companies that are similar in size to money center banks but whose headquarters are not based in one of the money center cities (New York, Chicago, San Francisco). **299**
supply curve A curve depicting the relationship between quantity supplied and price when all other economic variables are held constant. **135**
supply shock Any change in technology or the supply of raw materials that can shift the aggregate supply curve. **586**
sweep account An arrangement whereby any balances above a certain amount that remain in a corporation's checking account at the end of the business day are "swept out" of the account and invested in overnight repos that pay the corporation interest. **291**

T-account A simplified balance sheet with lines in the form of a T that lists only the changes that occur in balance sheet items starting from some initial balance sheet position. **236**
target financing rate The European Central Bank's target for the overnight cash rate, the interest rate for very-short-term interbank loans in the euro area. **431**
tariffs Taxes on imported goods. **476**
Taylor principle The principle that the monetary authorities should raise nominal interest rates by more than the increase in the inflation rate. **461**, **565**
Taylor rule Economist John Taylor's monetary policy rule that explains how the federal funds rate target is set. **461**
term structure of interest rates The relationships among interest rates on bonds with different terms to maturity. **162**
theory of efficient capital markets See *efficient market hypothesis*. **194**
theory of portfolio choice A theory that outlines how much of an asset people will want to hold in their portfolios, as determined by wealth, expected returns, risk, and liquidity. **133**
theory of purchasing power parity (PPP) The theory that exchange rates between any two currencies will adjust to reflect changes in the price levels of the two countries. **474**
thrift institutions (thrifts) Savings and loan associations, mutual savings banks, and credit unions. **84**
tightening of monetary policy An increase in the federal funds rate. **364**
time-inconsistency problem The problem that occurs when monetary policymakers conduct monetary policy in a discretionary way and pursue expansionary policies that are attractive in the short run but lead to poor long-run outcomes. **437**
too-big-to-fail problem Problem in which regulators are reluctant to close down large financial institutions because doing so might precipitate a financial crisis. **264**
trade balance The difference between merchandise exports and imports. **502**
transaction costs The time and money spent trying to exchange financial assets, goods, or services. **80**
transmission mechanisms of monetary policy The channels through which the money supply affects economic activity. **672**

underwrite To purchase securities from a corporation at a predetermined price and then resell them in the market. **88**
underwriting Guaranteeing the price for a corporation's securities and then selling them to the public. **72**
unemployment rate The percentage of the labor force not working. **53**
unexploited profit opportunity A situation in which an investor can earn a higher-than-normal return. **196**
unit of account Anything used to measure value in an economy. **97**
unsecured debt Debt not guaranteed by collateral. **211**
unsterilized foreign exchange intervention A foreign exchange intervention in which a central bank allows the purchase or sale of domestic currency to affect the monetary base. **499**

value at risk (VaR) Calculations that measure the size of the loss on a trading portfolio that might happen 1% of the time over a short period—say, 2 weeks. **271**
vault cash Currency that is physically held by banks and stored in vaults overnight. **235**
velocity of money The rate of turnover of money; the average number of times per year that a dollar is spent in buying the total amount of final goods and services produced in the economy. **527**
venture capital firm A financial intermediary that pools the resources of its partners and uses the funds to help entrepreneurs start up new businesses. **221**
virtual bank A bank that has no building but rather exists only in cyberspace. **286**

wealth All resources owned by an individual, including all assets. **96, 132**

World Bank The International Bank for Reconstruction and Development, an international organization that provides long-term loans to assist developing countries in building dams, roads, and other physical capital that will contribute to their economic development. **504**

World Trade Organization (WTO) An organization headquartered in Geneva, Switzerland, that monitors rules for the conduct of trade between countries (tariffs and quotas). **504**

yield curve A plot of the interest rates on particular types of bonds with different terms to maturity. **170**

yield to maturity The interest rate that equates the present value of payments received from a credit market instrument with its value today. **114**

zero-coupon bond See *discount bond*. **113**

zero-lower-bound problem A situation in which the central bank is unable to lower short-term interest rates further because they have hit a floor of zero. **425**